

Muhamad Afifi



ORACLE SCM TRACK

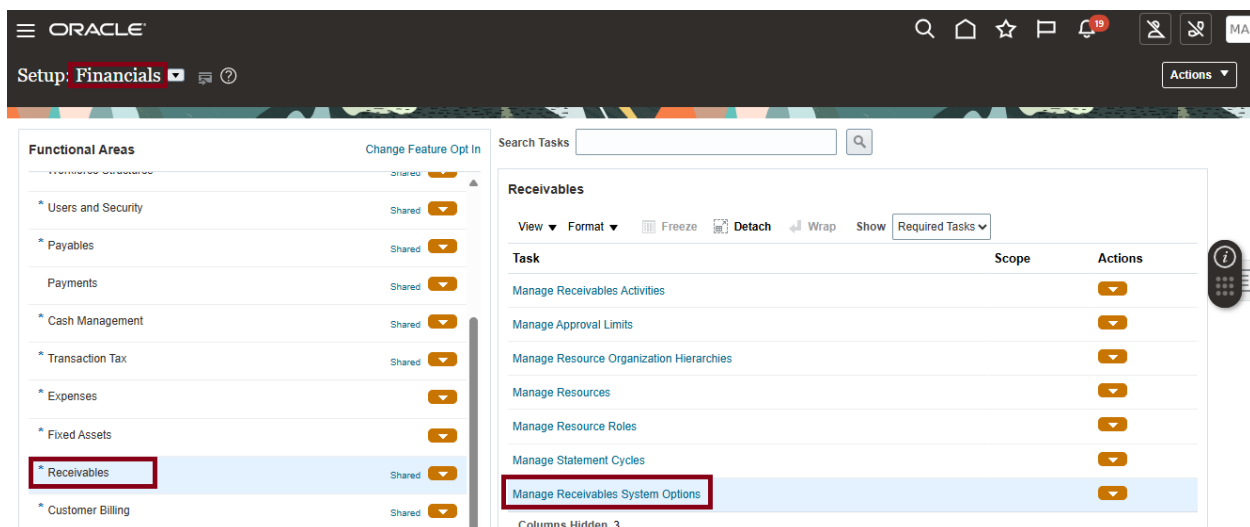
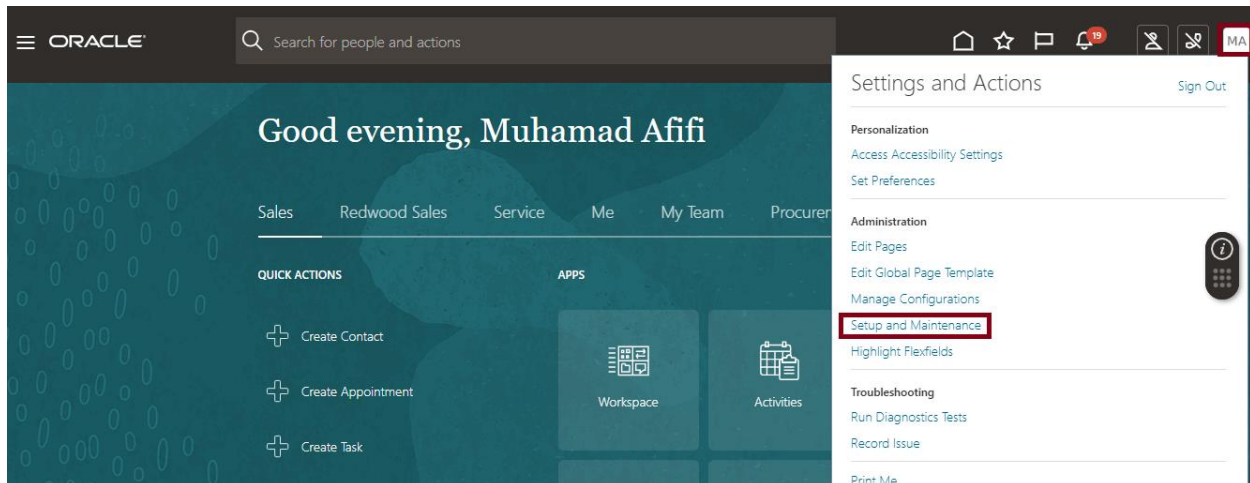
Order Management Setup and Configuration

Contents

<i>1. Manage Receivables System Options</i>	<i>2</i>
<i>2. Manage Remit to Addresses</i>	<i>5</i>
<i>3. Manage Order Management Parameters</i>	<i>7</i>
<i>4. Manage Pricing Parameters</i>	<i>10</i>
<i>5. Manage Shipping Parameter</i>	<i>12</i>
<i>6. Manage Carriers</i>	<i>14</i>

1. Manage Receivables System Options

Setup Path: Home Page > Setup and Maintenance > Financials > Receivables > Manage Receivables System Options > Fill Data > Save and Close



ORACLE

Create System Options ?

Business Unit: MABU

Ledger: US Primary Ledger

Ledger Currency:

Billing and Revenue Cash Processing

* Split Amount: 2,500

* Days in Days Sales Outstanding Calculation: 30

Sales Credit Percent Limit:

☐ Require salesperson

☒ Print remit-to address

☒ Print home country

Default Country: Egypt

* Application Rule Set: Prorate All

* Discount Basis: Invoice Amount

☐ Allow unearned discounts

☐ Discount on partial payment

☒ Allow any business unit to process receipts

Exception Rule Adjustment Activity:

Exception Rule Adjustment Reason:

Credit Card Receipt Method:

Credit Card Remittance Bank Account:

Credit Card Receipt Business Unit:

Bank Account Receipt Method:

Bank Account Remittance Bank Account:

Bank Account Receipt Business Unit:

Context Value:

Regional Information:

Accounting

* Tax Account: 101.10.13200.000.000.000

* Realized Losses Account: 101.10.78620.121.000.000

* Days per Posting Cycle: 15

Unallocated Revenue Account: 101.10.49000.121.000.000

* Cross-Currency Rounding Account: 101.10.78560.121.000.000

☐ Automatic journal import

☒ Use header level rounding

* Realized Gains Account: 101.10.78610.121.000.000

* Header Rounding Account: 101.10.78560.121.000.000

☐ Enable multifund accounting

Billing and Revenue

- **Split Amount:** This means if the invoice has a big amount and you want it split into multiple installments or distributions, the system decides how to do it.
- **Days in DSO Calculation:** This is the number of days the system uses to calculate Days Sales Outstanding (DSO) = the time it takes to collect the money.
- **Application Rule Set:** These are rules that determine where the customer payment is applied first.
- **Discount Basis:** This determines what the discount is calculated on.

- Accounting

- **Tax Account:** The account where tax is recorded in accounting.
- **Unallocated Revenue Account:** If you made an invoice and haven't assigned the revenue yet, it is temporarily put here.
- **Cross Currency Rounding Account:** If there is a small difference due to currency conversion, the difference is recorded in this account.
- **Realized Gains Account:** If you gain from currency differences during collection, it goes here.
- **Realized Losses Account:** If you lose from currency differences, it goes here.

- **Header Rounding Account:** If the invoice is rounded at the header level, the difference is recorded in this account.
- **Days per Posting Cycle:** The number of days the system considers as a posting cycle, used in reports and time-based accounting.

- Transactions

- **Tax Invoice Printing Options:** This determines how the tax appears when printing the invoice or whether it prints as a tax invoice or not.
- **Document Number Generation Level:** This defines at what level the invoice number is generated.
- **Item Validation Organization:** This is the most important thing here. It tells the system **where to get the list of items from**.

-The rest of the fields depend on the business needs.

Accounting ?

* Realized Gains Account 101.10.78610.121.000.000 [Help](#)

* Realized Losses Account 101.10.78620.121.000.000 [Help](#)

Cross-Currency Rate Type Corporate

* Cross-Currency Rounding Account 101.10.78560.121.000.000 [Help](#)

Automatic Receipts

Receipt Confirmation Threshold Amount 99,999,999

* Invoices per Commit 10,000

* Receipts per Commit 10,000

Bills Receivable

☐ Enable bills receivable

Bills Receivable Transaction Source

☐ Allow factoring of bills receivable without recourse

2. Manage Remit to Addresses

Setup Path: Home Page > Setup and Maintenance > Financials > Customer Billing > Manage Remit to Addresses > Fill Data > Save and Close

ORACLE

Setup: Financials

Functional Areas

- * Cash Management Shared
- * Transaction Tax Shared
- * Expenses
- * Fixed Assets
- * Receivables Shared
- * **Customer Billing** Shared
- * Revenue Recognition
- * Customer Payments Shared
- * Customers Shared
- * Items Shared
- * Collections
- * Revenue Management

Search Tasks: Manage remit to addresses

Customer Billing

Task	Scope	Actions
Manage AutoAccounting Rules		
Manage Transaction Types		
Manage Transaction Sources		
Manage Salesperson Account References		
Manage Remit to Addresses		
Manage Standard Memo Lines		
Manage Receivables Note Type		
Manage Receivables Note Type Mapping		
Manage Receivables Note Descriptive Flexfields		
Manage User-Defined Rules for Receivables		

ORACLE

Manage Remit-to Addresses

Search

Search Country eg

+

Site Number	Address	Country	Remit-to Address Set
No results found.			

Site : Receipt from Criteria

Country	State	From Postal Code	To Postal Code
No results found.			

This simply defines where the customer sends the money or any documents. We record the addresses where payments or documents should go. Practically, you use it if you have more than one branch. For example, my company has a branch in Cairo and a branch in Dubai. Each branch has a different address, so you assign a different Remit To Address for each one.

Oracle
Create Remit-to Address

Remit-to Address Set: Common Set

Country: Egypt

Address Line 1: Cairo

Address Line 2:

Address Line 3:

City: Cairo

State: Cairo

Postal Code:

Regional Information:

Buttons: Save, Save and Close, Cancel

Here, I specify the address that will receive the payment, for example in Egypt, so the customer will send it there. You can also add other locations as needed.

Manage Remit-to Addresses

Search: Country Egypt

Site Number	Address
300000316549414	MahmoudAnsary_ADD_LINE,CAIRO CAIRO
300000316414163	Maadi,CAIRO CAIRO
300000316413517	st 15 the nasr city,CAIRO
300000316370096	nasr city,CAIRO
300000316413943	New cairo,CAIRO
300000316549494	Next Location LE,CAIRO
300000316369545	Nase City
300000316951728	MA Cairo,CAIRO CAIRO
300000316414103	cairo,CAIRO
300000316951722	MA Cairo,CAIRO CAIRO

Site 300000316951728: Receipt from Criteria

Create Receipt from Criteria: Site 300000316951728

Remit-to Address

Site Number: 300000316951728

Address: MA Cairo,CAIRO CAIRO

Receipt from Criteria

Country: Egypt

State: Cairo

From Postal Code:

To Postal Code:

Context Value:

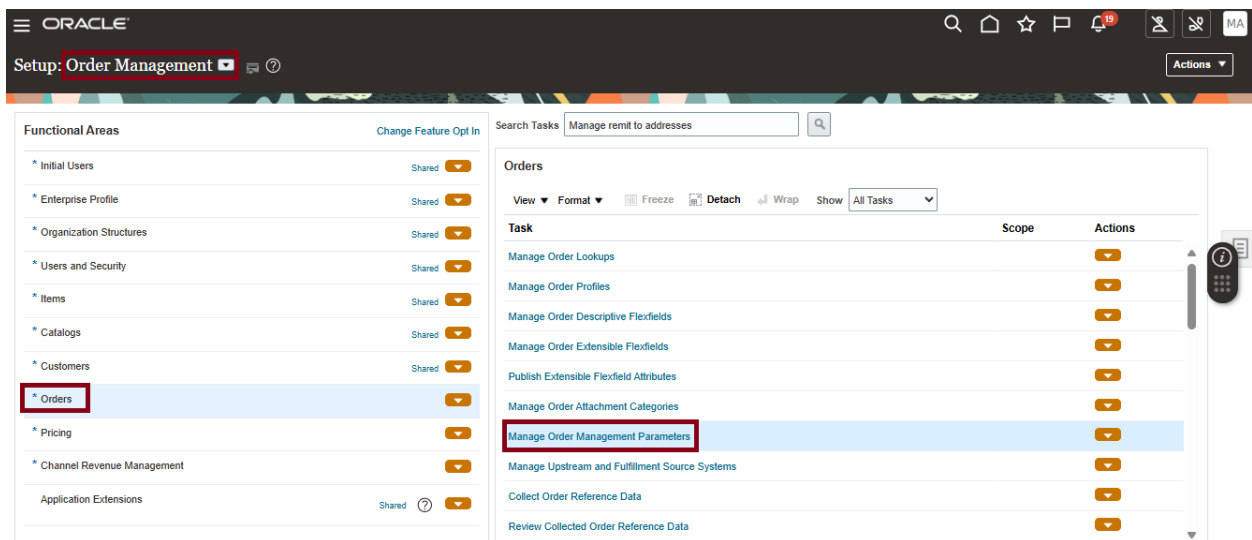
Buttons: Save and Close, Save and Create Another, Cancel

After saving, you can define exactly **where this address can receive payments from**. You can set the locations freely; it doesn't have to be the same country.

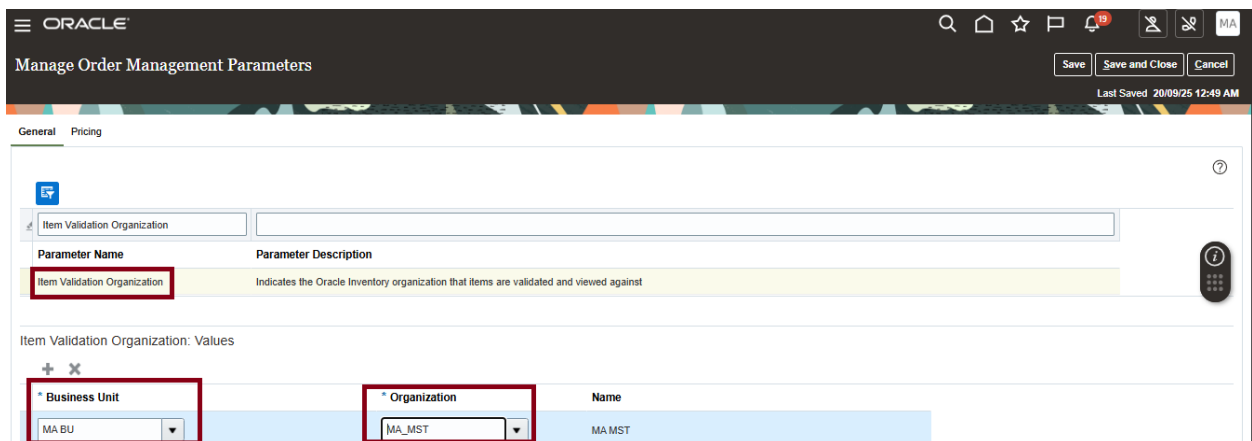
3. Manage Order Management Parameters

Setup Path: Home Page > Setup and Maintenance > Order Management > Orders > Manage Order Management Parameters > Fill Data > Save and Close

We will now work on a set of **parameters** that are needed to complete the setup so we can work smoothly without any issues.

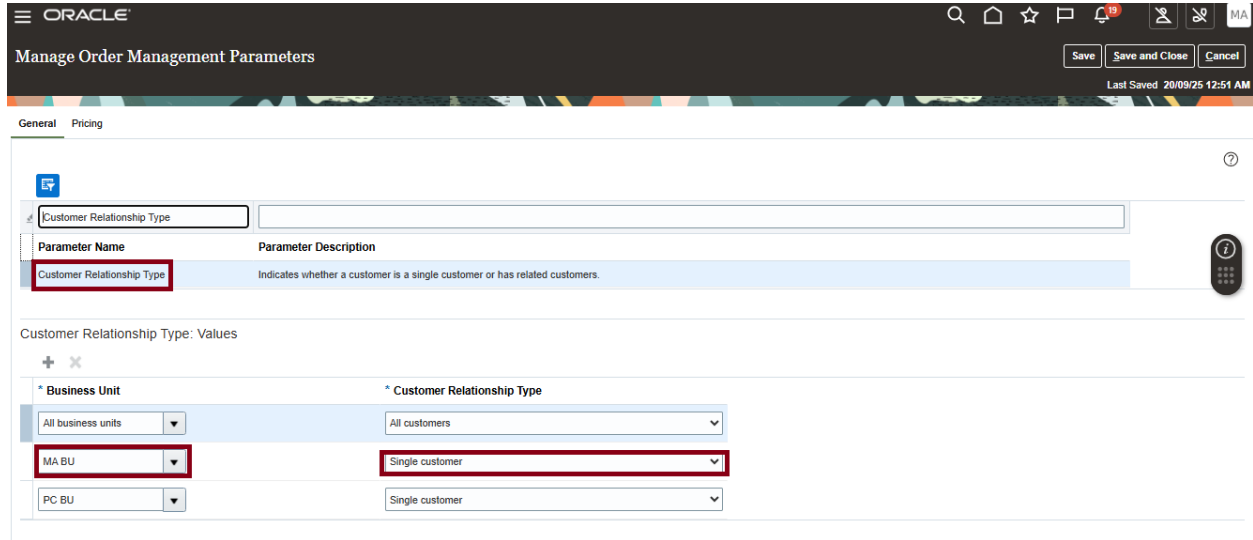


1- Item Validation Organization



This is the **Master Organization** that the system refers to in order to get the list of items. You can specify a particular inventory organization, but if you both sell and purchase, it's better to use the master. Any item added to a Sales Order must be defined and enabled in this organization; otherwise, it will not go through.

2- Customer Relationship Type

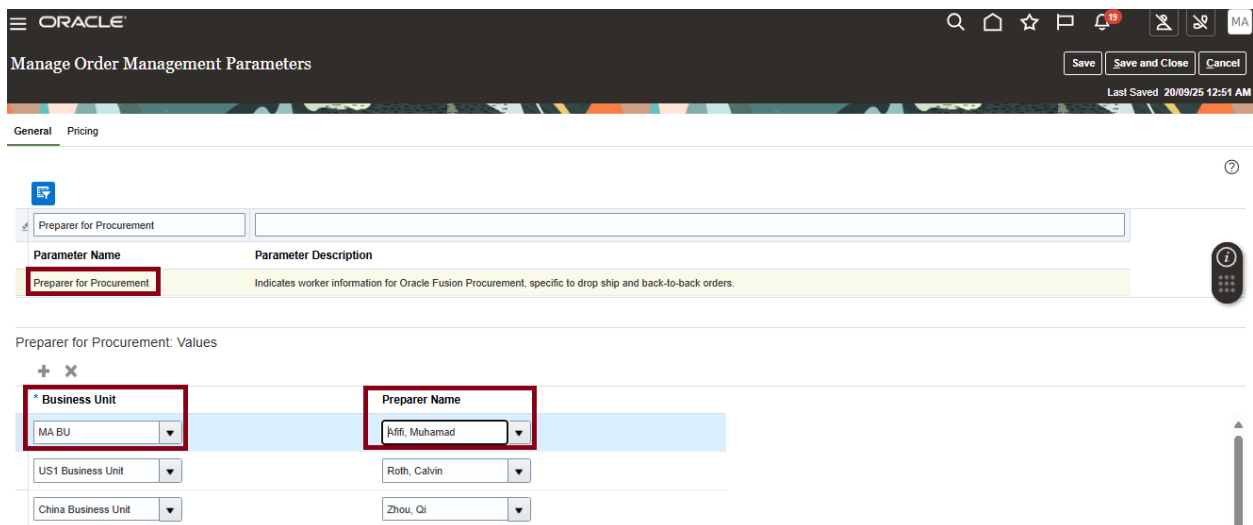


The screenshot shows the Oracle Manage Order Management Parameters page for the 'Customer Relationship Type' parameter. The parameter name is 'Customer Relationship Type' and its description is 'Indicates whether a customer is a single customer or has related customers.' Below this, the 'Customer Relationship Type: Values' section shows a table with two columns: '* Business Unit' and '* Customer Relationship Type'. The table has three rows: 'All business units' with 'All customers', 'MA BU' with 'Single customer', and 'PC BU' with 'Single customer'. The 'MA BU' and 'Single customer' cells are highlighted with red boxes.

* Business Unit	* Customer Relationship Type
All business units	All customers
MA BU	Single customer
PC BU	Single customer

This defines how the system handles the customer structure. When it is set to **Single Customer**, each order is processed for one customer only, meaning you deliver the goods to this customer and receive payment from them. There is another option, **Related Customer Only**, which allows you to handle orders where two customers are related; for example, one receives the goods and the other makes the payment. The third option is **All Customers**, which means you can deliver the goods to one customer while another customer makes the payment.

3- Preparer for Procurement



The screenshot shows the Oracle Manage Order Management Parameters page for the 'Preparer for Procurement' parameter. The parameter name is 'Preparer for Procurement' and its description is 'Indicates worker information for Oracle Fusion Procurement, specific to drop ship and back-to-back orders.' Below this, the 'Preparer for Procurement: Values' section shows a table with two columns: '* Business Unit' and 'Preparer Name'. The table has three rows: 'MA BU' with 'Kifit, Muhamad', 'US1 Business Unit' with 'Roth, Calvin', and 'China Business Unit' with 'Zhou, Qi'. The 'MA BU' and 'Kifit, Muhamad' cells are highlighted with red boxes.

* Business Unit	Preparer Name
MA BU	Kifit, Muhamad
US1 Business Unit	Roth, Calvin
China Business Unit	Zhou, Qi

This is the default person that the system assigns if the order needs to be converted into a purchase request, such as in Back-to-Back or Drop Ship scenarios. This creates a direct link between Order Management and Procurement. In some cases, the product may not be available in inventory when the Sales Order is created. In this case, the system does not stop the sale, but starts creating a supply source automatically through Procurement. In **Back-to-Back**, the goods pass through the company's inventory first and then go to the customer. In **Drop Ship**, the product is shipped directly from the supplier to the customer without entering the company's inventory.

4- Activate Credit Check on Order Submit

The screenshot shows the Oracle Manage Order Management Parameters page. The 'General' tab is selected. The parameter 'Activate Credit Check on Order Submit' is highlighted with a red box. The parameter description is 'Indicates whether credit checking is executed during order submission'. Below the parameter name, there is a table with two rows. The first row is for 'MA BU' and the second row is for 'US1 Business Unit'. The 'Activate Credit Check on Order Submit' column has a red box around the 'No' value for 'MA BU' and the 'Yes' value for 'US1 Business Unit'.

Parameter Name	Parameter Description
Activate Credit Check on Order Submit	Indicates whether credit checking is executed during order submission

Activate Credit Check on Order Submit: Values

* Business Unit	Activate Credit Check on Order Submit
MA BU	No
US1 Business Unit	Yes

If **activated**, the system performs a credit check when the order is submitted. If **not activated**, the order goes through normally even if the customer exceeds the credit limit.

5- Credit Check Failure at Order Submit

The screenshot shows the Oracle Manage Order Management Parameters interface. The 'General' tab is selected. The parameter name 'Credit Check Failure at Order Submit' is highlighted with a red box. The parameter description is 'Indicates whether the Order should be saved in Draft Status or Submitted status when Credit Check fails during order submission.' Below this, the 'Credit Check Failure at Order Submit: Values' section is shown. It contains a table with two columns: 'Business Unit' and 'Credit Check Failure at Order Submit'. The first row shows 'MA BU' for the Business Unit and 'Save Order in Draft Status' for the Credit Check Failure at Order Submit. The second row shows 'All business units' for the Business Unit and 'Submit the Order with Hold on lines that failed Credit Check' for the Credit Check Failure at Order Submit. The third row shows 'PC BU' for the Business Unit and 'Save Order in Draft Status' for the Credit Check Failure at Order Submit.

If the credit check fails, this setting determines how the system should act. Here, it saves the order as a Draft, meaning it will not proceed until the issue is resolved.

6- Quantity to Invoice for Overshipment

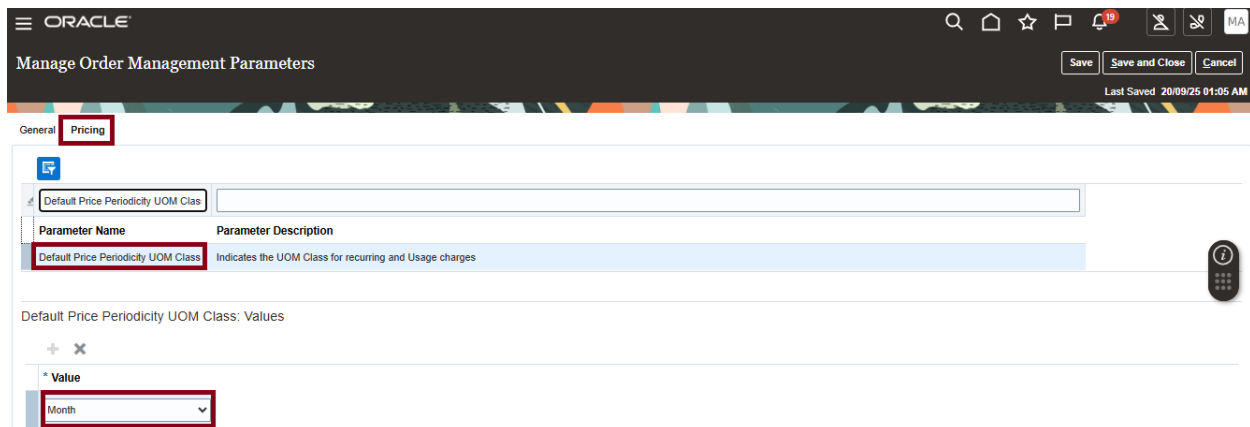
The screenshot shows the Oracle Manage Order Management Parameters interface. The 'General' tab is selected. The parameter name 'Quantity to Invoice for Overshipment' is highlighted with a red box. The parameter description is 'Set the quantity to invoice when an overshipment occurs.' Below this, the 'Quantity to Invoice for Overshipment: Values' section is shown. It contains a table with two columns: 'Business Unit' and 'Quantity to Invoice for Overshipment'. The first row shows 'MA BU' for the Business Unit and 'Shipped quantity' for the Quantity to Invoice for Overshipment.

If the **shipped quantity** is greater than the ordered quantity, the system will invoice the quantity that was actually shipped, not the original quantity in the order. However, if it is based on **ordered quantity**, it will invoice the original quantity.

4. Manage Pricing Parameters

Here, we can set it from the same **Order Management Parameters** screen as I did, or from **Manage Pricing Parameters**.

1- Default Price Periodicity UOM Class



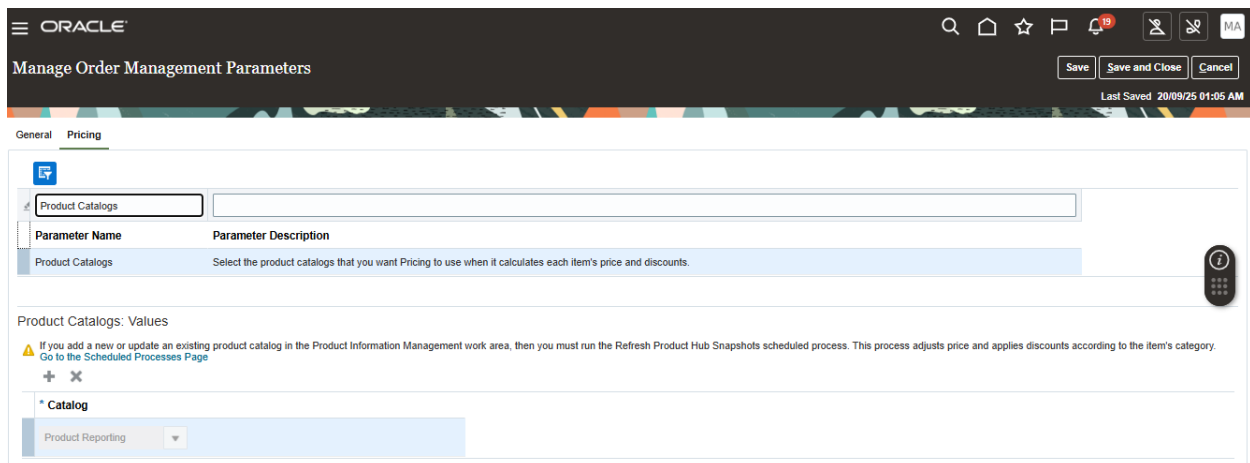
The screenshot shows the Oracle Manage Order Management Parameters interface, specifically the Pricing tab. The 'Default Price Periodicity UOM Class' parameter is highlighted with a red box. The parameter description is 'Indicates the UOM Class for recurring and Usage charges'. Below the parameter table, the 'Default Price Periodicity UOM Class: Values' section shows a table with one row: 'Month'.

Parameter Name	Parameter Description
Default Price Periodicity UOM Class	Indicates the UOM Class for recurring and Usage charges

Value
Month

The system needs to know on what basis to calculate the price if the product or service is recurring. If **Month** is selected, the default price is calculated monthly, meaning the customer will be charged the same price every month.

2- Product Catalogs



The screenshot shows the Oracle Manage Order Management Parameters interface, specifically the Pricing tab. The 'Product Catalogs' parameter is highlighted with a red box. The parameter description is 'Select the product catalogs that you want Pricing to use when it calculates each item's price and discounts.' Below the parameter table, the 'Product Catalogs: Values' section shows a table with one row: 'Product Reporting'.

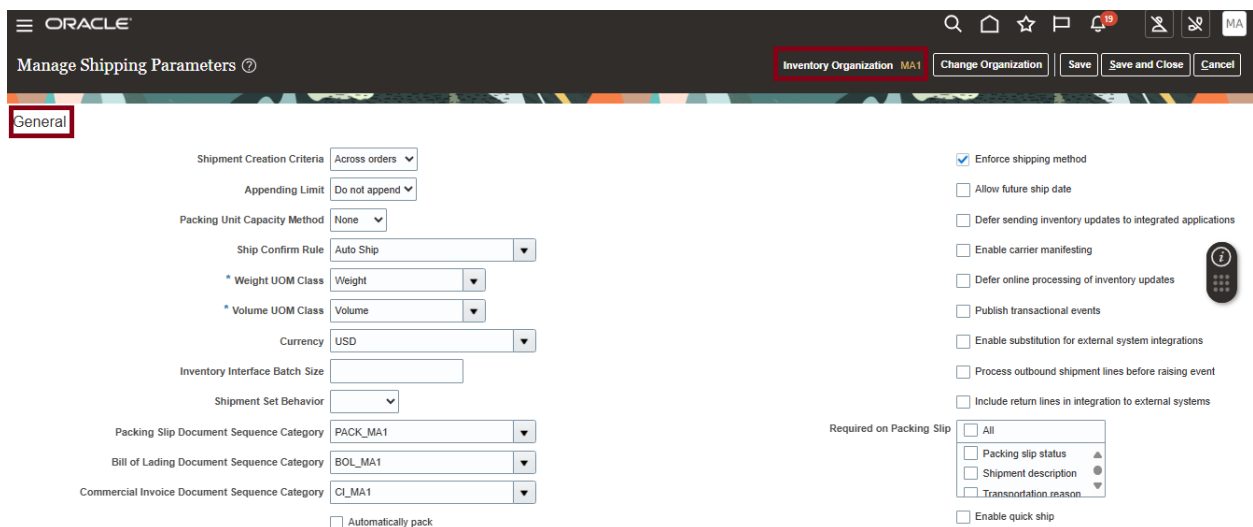
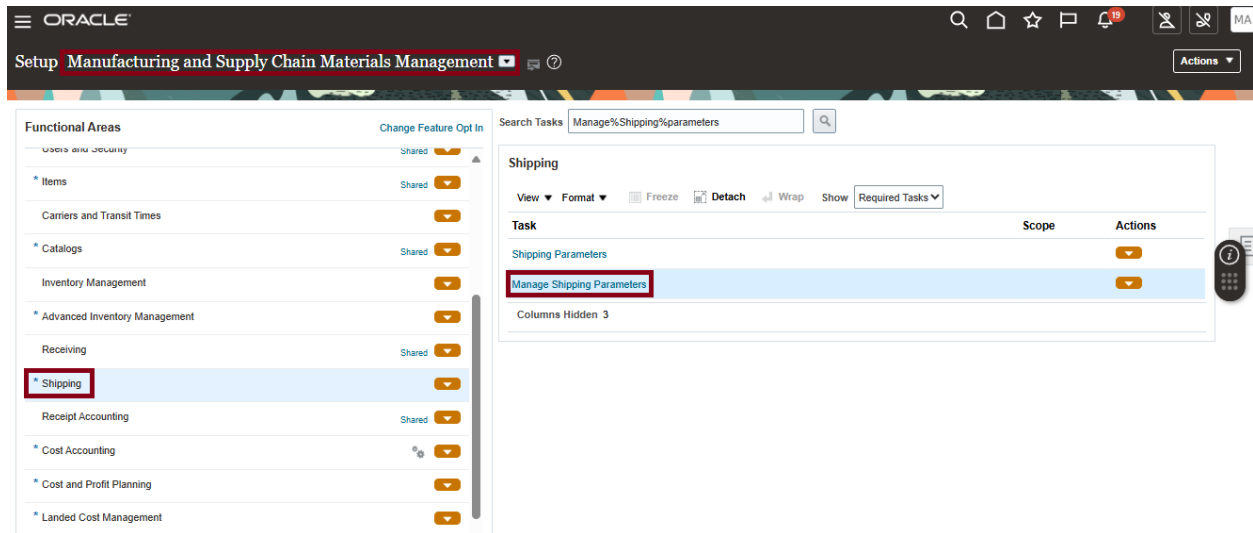
Parameter Name	Parameter Description
Product Catalogs	Select the product catalogs that you want Pricing to use when it calculates each item's price and discounts.

Catalog
Product Reporting

This is a product classification system. It makes reporting and sales analysis easier, and it can also be used to apply pricing rules to a group of products instead of each product individually.

5. Manage Shipping Parameter

Setup Path: Home Page > Setup and Maintenance > Manufacturing and Supply Chain Materials Management > Shipping > Manage Shipping Parameter > Fill Data > Save and Close



This is the screen that defines how the system handles shipments.

- **Shipment Creation Criteria:** This defines when the system creates a shipment if you have more than one order. **Across Orders** means the system can combine different orders into one shipment if they have the same

destination or time. For example, if there are 3 orders for the same customer, they can be shipped once instead of three times.

- **Packing Unit Capacity Methods:** This defines how boxes or packages are packed. **None** means there are no restrictions on the package size, so the system does not calculate the number of boxes, weight, or volume.
- **Ship Confirm Rule:** This defines when the system confirms the shipment.
- **Enforce Shipping Method:** This defines whether the system enforces a specific shipping method. If activated, every shipment must use the shipping method specified in the order. If not activated, the employee can choose any method.

Pick Release

☒ Consolidate backordered lines
☐ Enforce packing

Subinventory for Quick Ship
 Locator for Quick Ship
 Shipping Tolerance Behavior
 Reservation Behavior for Integration to External Systems

* Release Sequence Rule: Default: Scheduled Ship Date
 * Pick Slip Grouping Rule: Order Number
 Print Pick Slip: Immediate
 Number of Pick Slip Lines:
 * Staging Subinventory: MA1 Stage
 Staging Locator:
 Number of Pick Release Child Processes:

Pick Release Batch Size:
☒ Create shipments
☐ Enforce shipment sets
☐ Express pick
 Trade Compliance Screening Method:

Optional Shipment Grouping Attributes ?
☐ Shipping method
☐ Freight terms
☐ FOB
☒ Customer

- **Consolidate Backordered Lines:** This affects orders that have backorders. If activated, the system combines all backordered lines into one shipment when the products arrive.
- **Release Sequence Rule:** This defines the order in which shipments are released. **Scheduled Ship Date** means shipments are released based on the date set for shipping. Orders with the earliest Ship Date are shipped first.
- **Pick Slip Grouping Rule:** This defines the order and method for creating the **Pick Slip**, which is the paper the employee uses to pick items for the order. **Order Number** means each order gets a separate Pick Slip.
- **Staging Subinventory:** This is the subinventory where goods are moved before shipping. You can specify any subinventory, but it is better to have a dedicated staging subinventory for this purpose.
- **Optional Shipment Grouping Attributes:** This setting defines the basis on which the system can group multiple lines or orders into one shipment. If

Customer is selected, the main condition for grouping is that the shipments must be for the same customer.

6. Manage Carriers

Setup Path: Home Page > Setup and Maintenance > Manufacturing and Supply Chain Materials Management > Enterprise Profile > Manage Carriers > Fill Data > Save and Close

The screenshot displays the Oracle Manage Carriers setup interface. The top navigation bar shows the Oracle logo and the path: Setup: Manufacturing and Supply Chain Materials Management. The main content area is divided into two sections. The left section, 'Functional Areas', lists various setup areas, with 'Enterprise Profile' highlighted. The right section, 'Carriers and Transit Times', lists tasks, with 'Manage Carriers' highlighted. Below this, the 'Manage Carriers' search results are shown, featuring a table with one entry: DHL.

Name	Active	Manifest Enabled
DHL	Yes	Yes

Here, I will start adding and creating my own shipping methods, like DHL.

ORACLE

Create Carrier ⓘ

Save Save and Close Cancel

* Carrier Name MAAIFI

☒ Active

☐ Manifesting enabled

Additional Information

Shipping Methods Contacts Inbound Tracking Rules ⓘ

Actions View Format + X Freeze Wrap

* Service Level	* Mode of Transport	Active
Next day air	Air	☒
Truckload standard	Truckload	☒

Columns Hidden 1

Next day air Air: Organization Associations

Actions View Format X Freeze Wrap

Organization	Organization Name
MA2	MA Inventory2
MA1	MA Inventory1

Here, I start defining my own shipping methods and make sure they are set as **Active**, then I link them to my organization.